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Deckers Outdoor Corp. (DECK)

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MANAGEMENT DISCUSSION SECTION

Operator: Good afternoon, everyone. Welcome to the Deckers Brands Fourth Quarter Fiscal 2026 Earnings Call. At this time, all participants are in a listen-only mode. Following the presentation, we will conduct a question-and-answer session. Instructions will be provided at that time for you to queue up for questions. [Operator Instructions] And I would like to remind everyone that this conference call is being recorded.

I would now like to turn the call over to Ms. Erinn Kohler, Vice President, Investor Relations and Corporate Planning. Please go ahead, ma'am.

Erinn Kohler
Vice President-Investor Relations & Corporate Planning, Deckers Outdoor Corp.

Hello and thank you, everyone, for joining us today. On the call is Stefano Caroti, President and Chief Executive Officer; and Steve Fasching, Chief Financial Officer.

Before we begin, I would like to remind everyone of the company's Safe Harbor policy. Please note that certain statements made on this call are forward-looking statements within the meaning of the federal securities laws, which are subject to considerable risks and uncertainties. These forward-looking statements are intended to qualify for the Safe Harbor from liability established by the Private Securities Litigation Reform Act of 1995. All statements made on this call today other than statements of historical fact are forward-looking statements and includes statements regarding our ability to drive long-term value; respond to the dynamic macroeconomic environment and the impacts on our business and operating results including as a result of changes to global trade policy, tariffs, pricing actions and mitigation strategies and fluctuations in foreign currency exchange rates; geopolitical conflicts including the ongoing Middle East conflict and related supply chain logistics and cost impacts; our current and long-term strategic objectives; the performance of our brands and demand for our products; anticipated impacts from our brand, products, marketing, marketplace and distribution strategies; product development plans and the timing of product launches; changes in consumer behavior including in response to price increases; our ability to acquire new consumers and gain share; our ability to achieve our financial outlook and multi-year framework including anticipated revenues, product mix, margins, expenses, inventory levels, promotional activity, anticipated rate of full price selling and earnings per share; and our capital allocation strategy including potential share repurchases.

Forward-looking statements made on this call represent management's current expectations and are based on information available at the time such statements are made. Forward-looking statements involve numerous known and unknown risks; uncertainties and other factors such as foreign exchange rate fluctuations; and changes to trade policies that may cause our actual results to differ materially from any results predicted, assumed or implied by the forward-looking statements. The company has explained some of these risks and uncertainties in its SEC filings including in the risk factors section of its annual report on Form 10-K and quarterly reports on Form 10-Q. Except as required by law or the listing rules of the New York Stock Exchange, the company expressly disclaims any intent or obligation to update any forward-looking statements.

On this call, management may refer to financial measures that were not prepared in accordance with generally accepted accounting principles in the United States including constant currency as well as free cash flow. For example, the company reports comparable direct-to-consumer sales on a constant currency basis for operations that were open throughout the current and prior reporting periods. The company believes that these non-GAAP financial measures are useful supplemental indicators of its operating performance because they exclude items that are unrelated to and may not be indicative of its core operating results.

Additionally, free cash flow is defined as net cash provided by operating activities for a particular period less capital expenditures made during that same period. The company believes free cash flow is a useful supplemental measure of liquidity as it reflects the cash generated from its operations after investments required to support the strategic growth of the business. Please review our earnings release published today for additional information regarding our non-GAAP financial measures.

With that, I'll now turn it over to Stefano.

Stefano Caroti

Chief Executive Officer, President & Director, Deckers Outdoor Corp.

Thank you, Erinn. Good afternoon and thank you all for joining today's call. We're closing fiscal 2026 with exceptional results, strong momentum, and deep conviction in the durability of our model and the demand for our consumer [ph] loved (00:04:51) products.

Over the past year, our teams executed with discipline by innovating our product pipelines, building brand heat, and evolving the marketplace. Collectively, these actions once again translated into outstanding financial results in a dynamic environment. We have influential globally relevant brands led by UGG and HOKA, each with distinctive product propositions, deep consumer connections, and meaningful runways for growth and expansion across [indiscernible] (00:05:23) categories, channels, and regions.

Built on disruptive category-defining innovation, HOKA has a unique opportunity to attract an even broader global consumer base through cutting edge performance technologies while extending into a growing lifestyle audience, creating a compelling pathway for continued growth. UGG has inspired generations of consumers through the evolution of iconic designs that transcend silhouettes and seasons, positioning the brand for meaningful long-term growth.

Our growth strategy remains clear and consistent, build and sustain category leadership for UGG and HOKA; excite consumers and captivate a growing global audience; prioritize high-quality, full price sell-through; and scale market share over the long-term. In addition, we have proven our ability to create shareholder value driven by authentic, innovative product that fuels the continued growth of our brands and is further supported by industry-leading profitability that enables us to keep investing in the opportunities ahead. With that, I'll start with highlights from the quarter and full fiscal year, recap brand performance, and provide further perspective around our longer term growth vision.

In the fourth quarter, HOKA delivered its largest quarter ever driven by new products in road and trail, and robust global DTC growth including continued healthy gains in the US complemented by ongoing wholesale momentum worldwide. The UGG brand's strong performance was fueled by seasonal extensions across both iconic and emerging franchises primarily driven by strength in global DTC. Both brands contributed to expanded gross margins despite tariff headwinds as high levels of full price sell-through underscored our continued focus on quality sales. This outstanding fourth quarter performance contributed to another record year for Deckers across both revenue and earnings.

For the full fiscal year, total Deckers revenue increased 10% versus last year to nearly $5.5 billion. HOKA and UGG together added more than $0.5 billion of revenue over the prior year record highs, increasing 16% and 8%, respectively. We maintain high gross margins and investment discipline, delivering best-in-class operating margins above 23%, and we drove record earnings per share to $7.02, reflecting an 11% increase versus last year. These results further demonstrate the momentum of our brands and the continued effectiveness of our marketplace execution. Fiscal 2026 strengthened our organization and fortified our foundation for future growth.

Now, let's dive into brand highlights starting with HOKA, our fastest growing brand. Global revenue in the full fiscal year 2026 increased 16% over last year to nearly $2.6 billion. HOKA growth was fueled by greater consumer adoption of its leading performance products with more people choosing the brand for various wearing occasions. HOKA continues to attract a wider audience through advancing product offerings that enhance the on-foot experience, offering unparalleled combination of performance and comfort; building awareness across the globe by investing in high-impact brand marketing, fostering consumer loyalty by developing direct-to-consumer membership programs and exclusive experiences that build the HOKA community; and expanding in-store visibility through collaboration with strategic wholesale partners.

In addition, the HOKA brand's fiscal 2026 product upgrade significantly boosted our global reach and appeal. For the year, growth primarily came from consumer-loved upgrades to our most popular road running franchises, Bondi and Clifton; newly developed H-Frame technology and updated design aesthetic in our key stability models, Arahi and Gaviota; advancements in foam midsole geometry and MetaRocker technology in our fastest shoes, Cielo, Rocket, and Mach; and expanded dimensions in the Mafate franchise across performance and lifestyle.

Our franchises function as scalable platforms representing families of products rather than single styles, allowing us to expand across performance and lifestyle tiers to deepen consumer engagement. There is significant equity in our most popular franchises, which is why we've placed greater emphasis on developing product families that can include multiple styles tiered across categories. The Mafate and Bondi franchises are two great examples of this successful strategy.

The Mafate franchise saw a great response to the launch of its peak performance version, Mafate X, which drove a halo of demand to both the trail workhorse, Mafate 5, and their more lifestyle-focused Mafate Speed 2. The Bondi franchise also demonstrated notable success with the Bondi 9 excelling in performance channels while the Bondi 7, reintroduced this February, and positioning key prominent lifestyle destinations has achieved robust sell-through following its release. The ongoing development of franchise families supports the HOKA brand's premium positioning and creates additional opportunities for segmentation and differentiation throughout the global marketplace.

By the end of fiscal 2026, 6 HOKA franchise families had generated over $100 million of annual revenue, and 3 more are close to reaching that milestone. Since January of 2025, all nine of these top franchises have now been updated, and we also have launched new complementary products. In the seasons ahead, we intend to build on this momentum, enhancing and elevating how we communicate HOKA product innovation to consumers through refined design principles, standardized technology branding, and sharper franchise positioning that leverages brand equity across category and experiences.

With this polished approach to product creation, we believe HOKA is well-positioned to accelerate the pace of performance to establish new standards; capture the imagination and loyalty of the next generation of athletes; and maintain deep, meaningful connections with our consumers, ensuring their needs and aspirations remain at the heart of everything we create across footwear, apparel, and accessories.

You will see this evolution begin to take shape this fall when we augment the Clifton franchise through the introductions of Clifton 11, which introduces a premium engineered mesh upper with a streamlined aesthetic crafted to extend the reach of our most beloved franchise; and the all-new Clifton Pro, our pinnacle offering in the franchise with enhanced technology, adding resilience and efficiency to the signature Clifton ride. This represents the first of several HOKA launches in the product pipeline, each designed to segment our most beloved franchises by capitalizing on existing franchise equity.

HOKA performs best with consumers who understand its differentiated value proposition, which is why we continue to invest in brand marketing. These efforts are making an impact as HOKA brand recognition experienced notable growth over the past year. According to our proprietary brand awareness survey, in the United States, HOKA awareness is now approximately 60%, reflecting an increase from 50% during the same period last year.

In international markets, HOKA brand awareness now averaged approximately 40%, up from roughly 30% in the previous year. This increased awareness represents important progress in growing the HOKA brand's audience, which we expect to continue acquiring through our focus to build great product and expand the brand's in-store presence.

The HOKA brand's channel performance in fiscal 2026 reflected our strategic evolution of the global marketplace, with wholesale increasing 18%, driven by strong full price sell-through and healthy reorders; and DTC growing 12%, reflecting second half acceleration. International regions delivered robust DTC growth across the fiscal year while improved second half performance of the US DTC business was driven by increased consumer awareness and adoption of key franchise updates, momentum for our enhanced HOKA membership program including benefits such as early exclusive product access, driving strong signups since the August 25 update; strong product storytelling around Gaviota, Speedgoat, and Mach, highlighting full price newness; and lower marketplace inventory related to better management of outgoing models.

Some regional highlights from the year include maintaining top brand share in US performance road and trail footwear above $140, and becoming a top 3 performance running brand in France, Italy, and the UK, both according to Circana. Furthermore, we also grew our premium brand presence in China with strong full-price performance across existing and new retail and partner locations, contributing to market share gains. These highlights reflect the power of our brand and the strong partnerships HOKA has established throughout the global marketplace. We remain committed to the strategic positioning of the HOKA brand with our trusted wholesale and distribution partners. Regardless of whether we're expanding or maintaining doors with individual retailers, sustaining HOKA performance and fostering mutually beneficial partnerships are essential to our ongoing collective success.

Based on the growing global demand we're seeing for HOKA, we plan to continue selectively expanding wholesale distribution in both the US and international regions in fiscal 2027 including a few thoughtfully chosen tests with new partners this fall. Door increases for HOKA will be primarily focused on high-quality sporting goods and athletic specialty retailers as the brand's presence remains relatively underpenetrated in these segments.

As always, our planned door growth will be controlled with a focus on maintaining a pull model of demand to build market share through healthy full-price sell-through. As part of our effort to achieve a balanced channel mix over time, we'll also continue selectively expanding the HOKA brand's retail store presence with a focus on key cities that traditionally amplify the brand's DTC performance online as well. I want to congratulate the entire HOKA team on delivering another great year. Together, we're well-poised to further elevate the HOKA brand and shape its bright future as a leading performance brand.

Moving to UGG now, which once again drove growth above expectations, delivering another record- breaking year. Global UGG revenue in fiscal year 2026 increased 8% versus last year to $2.7 billion. UGG's performance was primarily driven by a more diversified product mix and broader consumer engagement with continued global market share gains. As our iconic franchise families anchored the brand's leadership in quality and craftsmanship, our 365 strategy continued to gain traction with year-round products. Consumers increasingly engage in new models that resonate with authentic brand codes, and the brand continues to attract new consumer cohorts including higher engagement from a male audience.

Cementing the UGG brand expanded relevance and versatility starts with the right product. Our iconic UGG franchise families continue to deliver foundational growth for the brand through incremental diversification and our product teams have done a fantastic job continuing to evolve the brand's category appeal through new collections deeply rooted in the brand codes. The Tasman remains our most popular franchise, boosted by complementary styles like the Tazzelle and seasonal newness such as the Love Pack. Our iconic classic boot franchise was refreshed through the addition of the new Classic Micro and Heritage slippers remain bestsellers as UGG remains the go-to brand in this category.

We're experiencing deeper consumer engagement with core franchise families like these, including with our top-selling apparel item, the Tasman Hoodie, as well as with our newer footwear styles, proving the demand of UGG as a multi-category and multi-seasonal brand. This is increasingly evident with our sneakers and sandals offering.

Success with sneakers and sandals has come primarily through the development of the Lowmel franchise and the Golden Collection, which accounted for more than half of the brand's growth in fiscal year 2026. We continue to augment these collections through seasonal newness, most recently with the Minimel and GoldenGaze styles. These fresh silhouettes added new dimensions to each franchise, and both have resonated well across the global marketplace since launching during the fourth quarter.

In addition to modernized styles within multi-year collections, UGG has driven demand with all-new silhouettes that leverage the brand's distinctive product DNA. Earlier this year, we highlighted the success of ballet-inspired newness with Zora and Quill. Most recently, the Otzo Clog showcased our momentum in both innovation and in strengthening the UGG brand's appeal to men. Supported by focused product storytelling and locally relevant influencer seeding, the Otzo, a sleek, all-gender clog crafted with premium materials, debuted in February and delivered strong sell-throughs across global regions, particularly among new male consumers.

The UGG brand is gaining meaningful traction with male consumers. Men's styles accounted for more than 20% of the brand's global growth in fiscal 2026 with progress across all regions as North America's exclusive collaboration with menswear brand, HIDDEN, sold-out very rapidly, attracting a predominantly new and younger consumer base of the brand with over half of the buyers new to the brand between the ages of 18 and 34. EMEA delivered the highest incremental revenue growth among all markets, reflecting exciting momentum and significant opportunity given its relatively lower penetration. And China showed broad adoption across various categories through full price sales of new products like Weather Hybrids, the Otzo clog, and the Minimel sneaker.

From a channel perspective, UGG revenue growth versus the prior year was primarily driven by wholesale, which increased 13% for the full fiscal year. The brand benefited from strong early demand in the year that led to higher wholesale channel replenishment, increased allocations of key styles, and compelling new product, driving higher holiday demand.

For fiscal 2026, DTC grew 4% over last year, with growth weighted towards the second half of the year. The channel experienced temporary pressure early on in the year from improved wholesale in-stock positions, reflecting our strategic increase of product allocations. Overall, channel growth was much more balanced in the second half.

Looking ahead to fiscal 2027, we expect UGG to maintain a balanced business across channels, enhance its presence across the global marketplace, and continue making progress to develop the 365 and men's opportunities. A big congratulations to the global UGG team on another outstanding year, maintaining leadership in the premium lifestyle space and increasing relevance across various product categories.

As I reflect on the past couple of years, we've made significant progress to strengthen our teams, our brands and our platform for future growth. Our brands are generating increasing levels of consumer interest through distinct and innovative products, and operating in growing segments of the global marketplace with expanding category and distribution opportunities.

Looking ahead, our long-term strategy provides clear visibility to sustain growth over the coming years. While Steve will provide specific guidance for fiscal year 2027 later in the call, I would like to provide further insight into Deckers' multi-year growth framework, highlighting our continued strategic focus and belief in our distinctive brands, including our vision to further elevate the HOKA brand's positioning as a leading performance brand through disruptive innovation and enhanced lifestyle appeal, and drive UGG momentum forward as we evolve iconic franchises to expand category adoption while cementing the brand's position as a leading premium lifestyle brand.

Given the significant opportunity ahead across categories, channels and geographies, all supported by our strong marketplace execution, we remain highly confident in our brand portfolio's ability to deliver high-single digit revenue growth on a consolidated company basis through our fiscal year 2030, with HOKA expected to increase low-double digits annually and UGG anticipated to grow mid-single digits annually. Over this period of time, we anticipate the composition of our revenue growth to be consistent with what we've been communicating, with DTC growing faster than the wholesale channel and international growing faster than the US region.

To support our longer-term growth outlook, we will focus our investments on category defining product innovation, brand marketing, including greater localization of regional content, DTC capabilities that drive lifetime value, and technology advancements, including the responsible use of AI designed to support gains in productivity, efficiency, and consumer acquisition and connectivity. Taken all together, these investments are designed to further build brand heat, deepen consumer engagement and enhance our industry-leading operations, positioning Deckers to deliver operating expense leverage beyond this fiscal year.

As such, our fiscal 2028 to 2030 framework incorporates maintaining strong operating margins through industry-leading full price selling, disciplined marketplace execution, and realizes the benefits of our multi-year investments. And with today's announcements of our board's approval of an additional share repurchase authorization, this demonstrates the board's confidence in our multi-year framework.

Deckers' disciplined operational execution, paired with this increased authorization for sustained shareholder capital returns through share repurchases, reinforced by superior balance sheet and robust expected free cash flow generation, is expected to drive low-double digit annual earnings per share growth for fiscal year 2028 to 2030. Building on our proven track record, this framework embodies our durable, multi-year, multi-brand growth algorithm, positioning Deckers to deliver sustained long-term value for shareholders.

With that, I'll hand it over to Steve to provide further details on our fourth quarter and full fiscal year 2026 results, as well as our outlook for fiscal year 2027.

Steven J. Fasching

Chief Financial Officer, Deckers Outdoor Corp.

Thanks, Stefano, and good afternoon, everyone. Deckers' fiscal year 2026 performance was exceptional. HOKA and UGG delivered another year of sequential revenue growth, underscoring growing global demand across both of these amazing brands and their premium products. Our focused execution in the global marketplace yielded high levels of full price selling to deliver strong gross margins, which, combined with our investment, discipline and commitment to share repurchase, resulted in best-in-class operating margins and another record earnings per share.

HOKA continues to build upon its strong foundation by growing global awareness and continuing to gain market share with performance runners, while also expanding demand with consumers who are looking for a more technical and comfortable footwear for a variety of use cases. UGG continues to build share across genders, generations and geographies through the expansion of iconic franchises, product newness infused with unique brand codes, and our 365 strategy, which all combined to drive high levels of demand in consumer adoption across a variety of distinctive product franchises.

Now, let's get into the details of our fourth quarter and full fiscal year 2026 results, and then I will provide our initial outlook on fiscal year 2027. For the fourth quarter, revenue came in at $1.12 billion, representing an increase of 10% versus the prior year. Growth in the quarter was driven by HOKA and UGG, which increased 15% and 9%, respectively. HOKA delivered revenue of $671 million, representing the largest quarter in the brand's history. DTC was the fastest growing channel in the quarter, increasing 18% versus last year, with wholesale increasing 13%. Across both channels, revenue growth reflected continued strong momentum from international regions and positive contributions in the US.

UGG delivered revenue of $409 million, which was above our expectation, as the brand benefited from extended selling of fall products primarily in the DTC channel. Gross margin in the fourth quarter was 57.6%, up 90 basis points versus the prior year period, primarily due to higher levels of full price selling across UGG and HOKA, favorable foreign currency exchange rates, reduced freight costs, and a slight benefit from favorable product and channel mix, with partial offsets from a net headwind of tariffs.

Gross margin was well above our implied fourth quarter expectations, primarily due to higher full price selling, greater freight savings, and a slightly larger benefit from product mix favorability. SG&A for the quarter was $488 million, representing 43.6% of revenue, aligned with our expectation and taking advantage of our stronger FY 2026 performance. This included shifting certain expenses earlier to provide a stronger setup as we begin fiscal year 2027. This earlier and higher spend primarily related to accelerating top of the funnel marketing to build brand awareness, advance technology, and also reflected unfavorable impacts from foreign currency exchange rate remeasurement. These results drove diluted earnings per share of $0.96, which compares to $1 in the prior year period.

Our fourth quarter performance marked a strong close to the year. For the full fiscal year 2026, we delivered record revenue of $5.47 billion, which increased 10% versus last year. As compared to last year, revenue growth was driven by HOKA adding an incremental $354 million, totaling $2.59 billion in annual revenue, with double-digit percentage gains across both DTC and wholesale, and UGG increasing $207 million, totaling $2.74 billion of annual revenue, led by the global strength of wholesale, as well as an increase in DTC.

Gross margin for the year was 57.7%, down 20 basis points versus last year. The net headwind of tariff in the fiscal year accounted for approximately 80 basis points of decline year-over-year, with underlying margin expansion offsetting approximately 60 basis points, largely related to favorable product mix and lower freight costs. Product mix favorability continues to be driven by successful scaling of our highest margin products across UGG and HOKA.

SG&A dollar spend for the year was $1.89 billion, up 11% versus the prior year $1.71 billion. SG&A represented 34.6% of revenue, which is slightly above last year's rate of 34.2%. Key areas of increased investment in fiscal year 2026 included higher marketing spend across HOKA and UGG to fuel brand initiatives, increased rent primarily from international HOKA store openings, hiring additional talent primarily to support future HOKA growth opportunities, and strategic technology investments. We held our unallocated enterprise and shared brand expenses roughly flat versus the prior year, which created leverage to allow for strategic investments that support the long-term growth of our brands. Our exceptional levels of profitability reflect Deckers unique ability to play offence, invest behind our brands while remaining disciplined across other areas of the organization.

Our full fiscal year 2026 operating margin was 23.1%, inclusive of our targeted investments to support long-term growth opportunities across our brands. This result came in above our expectation, primarily due to gross margin favorability in the fourth quarter, as our brands delivered high levels of full price selling. For the full year, our effective tax rate was 22.8%, which compares to last year's rate of 22.3%.

During the fourth quarter, we repurchased approximately $262 million worth of shares at a weighted average price per share of $105.61. For the entire fiscal year 2026, we repurchased $1.075 billion worth of shares at a weighted average price per share of $102.43. Our record performance, coupled with a lower share count that resulted from our highest ever annual share repurchase, culminated in a record diluted earnings per share of $7.02, representing an 11% increase over last year's $6.33.

Turning to our balance sheet, at March 31, 2026, we ended the year with $1.9 billion of cash and equivalents, inclusive of repurchasing nearly $1.1 billion worth of shares in the year, driven by three consecutive years of delivering a free cash flow above $900 million. Inventory, inclusive of tariffs paid on inventory received this year, was $487 million, down 2% versus the same point in time last year, and during the period, we had no outstanding borrowings. For the third consecutive year, our results returned invested capital above 35%.

Now, moving to our outlook, for the full fiscal year 2027, we expect revenue in the range of $5.86 billion to $5.91 billion, reflecting high-single digit growth versus the prior year, with HOKA increasing low-double digits versus the prior year, reflecting a higher DTC growth rate relative to wholesale, and UGG increasing mid-single digits with balanced growth across channels.

Gross margin is expected to be approximately 56.5%, which is down versus last year, primarily due to higher freight costs from rising transportation costs and shipping disruption related to the ongoing Middle East conflict, and increased input costs related to material upgrades, and inflationary pressures.

Our guidance assumes the current tariff rate of 10% remaining in effect for the duration of the fiscal year, with inventory expected to be sold in the first half at higher IEEPA tariff rates already paid. And while we are pursuing government refunds, our guidance does not include an assumed refund amount.

SG&A is expected to be approximately 35% of revenue as we reinforce our foundation and support key growth initiatives. Increased investments are primarily focused on: marketing, to fuel the long-term success of our leading brands; people, as we anniversary new hires supporting critical long-term growth opportunities; technology, to facilitate effective and efficient data utilization; and DTC, including the strategic expansion of the HOKA brand's global retail presence.

We believe these investments will position Deckers to begin delivering operating expense leverage in fiscal year 2028 and beyond, as reflected in the framework Stefano provided earlier in the call. We expect an operating margin of approximately 21.5%, reflecting our commitment to deliver top-tier levels of profitability while continuing to invest in the long-term growth of our brands.

We are projecting an effective tax rate of approximately 23%. This all results in an expected diluted earnings per share in the range of $7.30 to $7.45, which includes an expectation to repurchase an amount equivalent to at least 80% of our free cash flow.

Capital expenditures are expected to be in the range of $145 million to $155 million, which is above last year, primarily due to bolstering our technology infrastructure, adding select global HOKA stores, and refreshing some UGG stores.

Our outlook reflects a deliberate strategy to prioritize long-term growth and brand strength. We have a high degree of confidence in our outlook, but we also recognize the challenges in the current macroeconomic environment. While difficult to determine what these impacts may be, we remain focused on executing our objectives, including the full year guidance I just walked through, and the newly introduced multi-year framework that Stefano outlined earlier in the call.

And while we want to maintain focus on our long-term opportunities, and given we are halfway through our first quarter, there are a few certain unique timing dynamics to consider for the current quarter. Our anticipated performance for the quarter ending June 30 includes consolidated revenue up approximately 5% to deliver our first ever $1 billion quarter ending June 30, with HOKA up high-single digits primarily from DTC growth.

Wholesale timing dynamics to consider include last year's earlier shipments related to the EMEA warehouse transition, delayed distributor shipments in APAC moving out of this quarter, and preparation of the marketplace for the Clifton launch in July as we reduce shipments of the outgoing model leading up to the release. UGG is expected to grow mid-single digits, aligned with our full year guide.

Gross margin is expected to be down versus last year, primarily due to the wraparound net impact of higher tariffs on US goods, with slight positive offsets from favorable channel mix and currency. SG&A is expected to grow about double the rate of revenue in the quarter, reflecting marketing investments to support brand initiatives, lapping favorable timing elements in the prior year, including FX remeasurement, and annualization of new hires in the prior year, with EPS expected to be in the range of $0.82 to $0.87.

With this first quarter context in mind, we want to reiterate that growth may not be linear across quarters, but our conviction in the broader outlook reflects our belief in our long-term strategy, powerful portfolio and operating model, and proven ability to deliver results over many years.

Specific to the last three fiscal years, Deckers has grown revenue at a compound annual rate of 15%, and earnings per share has more than doubled. With the framework Stefano shared, we anticipate earnings per share growing low-double digits on a compounded annual basis for our fiscal years 2027 to 2030, above the expected high-single digit revenue CAGR over the same time period. This multi-year growth framework is among the best in our industry, and it's on top of nine consecutive fiscal years of revenue and earnings growth.

Deckers has a very bright future ahead, and we look forward to executing on our plans to deliver outstanding results for years to come. We will continue to prioritize the long-term health of our amazing brands, execute a full model of demand and high full price sell-through, maintain investment discipline without sacrificing the long-term opportunities for our brands, and preserve the strength and optionality of our pristine balance sheet.

With that, I'll hand the call back to Stefano for his closing remarks. Thanks, everyone.

Stefano Caroti

Chief Executive Officer, President & Director, Deckers Outdoor Corp.

Thank you, Steve. Fiscal year 2026 marked another record setting performance for Deckers. Importantly, we achieved this primarily through full price business and disciplined inventory management. Looking ahead to fiscal 2027, our outlook remains strong, with steady and profitable revenue growth anticipated as we continue to invest in and strengthen our brands. In addition, we've outlined a multi-year framework through our fiscal year 2030, which includes annual total company revenue growth in the high-single digit range, with HOKA expected to achieve low-double digit growth and UGG targeting mid-single digit increases.

We'll continue to operate the global marketplace with full price execution and invest with discipline to maintain top-tier levels of operating margins. And with continued capital returns through our increased share repurchase authorization, earnings per share are expected to grow low-double digits annually in fiscal 2028 to fiscal 2030. We've established a very solid foundation for continued growth.

Our long-term strategy is clear and well-defined, and our highly skilled team is already executing on our priorities. I want to express my gratitude to all Deckers employees for their dedication and hard work in building our company into what it is today. I look forward to collaborating with all of you as we shape the future together. Thank you all for joining today's call and thank you to all of our stakeholders for your continued support.

I'll now turn the call over to the operator for your questions.

QUESTION AND ANSWER SECTION

Operator: Thank you, Mr. Caroti. [Operator Instructions] . We'll go first this afternoon to Laurent Vasilescu at BNP Paribas.

Laurent Vasilescu
Analyst, BNP Paribas Securities Corp.
Q

Good afternoon. Thank you very much for taking my question. I wanted to ask first a near-term question and then a longer-term question about the multi-year framework. But near term, Steve, Stefano, I usually don't comment about the quarter out. I appreciate you giving us some color around HOKA up high-single digits. It sounds like there were earlier timing shifts – shipments, moves around the launches. Maybe can you help us for the audience on the confidence around low-double digit growth for HOKA for the full year. How do we think about that 1H versus 2H in terms of that framework?

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.
A

Yeah, sure, Laurent. I'll take that – the first one. So clearly, we are confident on the year with high-single digits total company, low-double digits HOKA. And as I said kind of in our commentary on Q1, there are dynamics in Q1 this year that we also have to look at what happened last year. And so, that's not indicative of a normal trend of business. That's just some of the dynamics that happened last year compared to what we're having this year, with differences in timing of launches, differences in closeout of products.

So, it's not an indication of a change in business. We are as confident as ever in terms of the growth that we can achieve. And then recall last year, we did have a timing difference related to moving more inventory in Q1 with our 3PL conversion in Europe. So, we were shipping more in Europe in that first quarter to accommodate a transition with our 3PL mode. So short answer to your question, extremely confident, good trends. We're seeing positive trends across the globe and confident in delivering the year.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.
A

Yeah. Let me add something to that, Laurent. Our wholesale shipment timing in Q1 also reflects setting up a clear marketplace for the launch of Clifton later in July.

Laurent Vasilescu
Analyst, BNP Paribas Securities Corp.
Q

Super helpful. And then nice to see the multi-year framework provided today. As we think about long-term HOKA growth of low-double digits, maybe can you help us frame it in terms of US/international? Should we assume mid-single digits for US, mid-teens international? And then maybe can you provide a little bit more color around how you think about gross margins versus SG&A margins overall for the year – for the full multi-year? And then, sorry, Steve, I've got to ask you this question. You tend to have – you tend to set conservative guidance. Does that apply to this multi-year framework? Thank you so much.

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.
A

Sure, Laurent. Let me just kind of go through some of those questions. So in terms of how you're thinking about the breakout between domestic and international in terms of growth, I think you're in line with how we're looking at it. As we've said, international continued to grow at a faster pace in the US. The US will continue to grow. Just international will continue to grow at a faster pace.

The second question was gross margins. So, [ph] I know (00:43:40) we're seeing some – yeah, some of the pressure on the gross margin in the year really has to do with inflation and higher material costs. So other than that, we're not assuming a significant change in the movement of the gross margin on the year, just some pressures that we're seeing currently with input costs going higher, as well as using upgraded material costs. And so, that is contributing to a little bit of a hit on the gross margins.

And then the last bit on multi-year, so yeah, I think to your point, we have been viewed as conservative guiders. As we're looking out over the next few years, we are leaning into it, right? I would not call this a conservative guide as we look out to FY 2030. But given the strength and the confidence that we've seen and the performance of our brands over the last two years, it's giving us confidence and our ability to do this. Our brands are in incredible position, but to your point, we are leaning into it more than we have in the past.

Laurent Vasilescu
Analyst, BNP Paribas Securities Corp.
Q

Wonderful. Thank you very much and best of luck.

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.
A

Sure.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.
A

Thanks, Laurent.

Operator: Thank you. We'll go next now to Paul Lejuez with Citi.

Paul Lejuez
Analyst, Citigroup Global Markets, Inc.
Q

Hey, thanks, guys. Curious If you could talk about your HOKA order books and your visibility for the brand to grow significantly in wholesale this year, and also specifically, how you think about US versus international within that HOKA wholesale business. And if you could, maybe just touch on performance of lifestyle, that offering? What you've got planned in terms of the lifestyle initiatives this year, and how important is that to achieving not only this year's plan, but your multi-year goals for that HOKA business to grow low-double digits? Thanks.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.
A

Yeah. So on the framework, as Steve said, we anticipate mid-single digit growth in the US for HOKA and double-digit growth internationally. In terms of order book, we have a strong healthy order book, our innovation stories across road and trail have been very well-received by retail partners. We now have a very clear design distinction between our [ph] Mach Silo Glide (00:46:13) and our [ph] Speed Silo Fly (00:46:14) and this Pro concept that we're introducing with the Clifton Pro is going to expand our reach and attract new audiences. And all this on the back of strong springs sell-throughs across new models, Gaviotas, Mach, Speedgoat 7 are all performing well in the marketplace.

Regarding lifestyle, we're starting to see green shoots in our lifestyle business, with Mafate Speed 2, Bondi 7 leading the charge, and this is very encouraging for us given the potential we see in this category.

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.

A

And then I think, Paul, just a bit – a little bit back on to the order book, strong performance always drives a strong order book. And coming off of a few years now where we've had success, our wholesale partners have had success, it really does help form the order book and we see strong earlier signals. So again, some of our signals around the confidence that we're seeing around the business, with the success that we're having with our wholesale partners and the success that they're seeing with the sell-through of our product at full price selling, those are all things that give us confidence and help us drive that order book.

Paul Lejuez
Analyst, Citigroup Global Markets, Inc.

Q

Is there any way to quantify the order book that you're seeing and – or maybe sell-throughs at retail that might be an indication of future orders?

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.

A

Yeah, we don't break that out in terms of numbers, other than what we have, is clearly, we just – we aren't providing it in terms of numbers. What I can say is that clearly, with the gross margin that you've seen us deliver, it's an indication of the strong sell-through of our product. So, our product is selling through very well. Our wholesale partners are having success with it. And the other indicator of how strong that is inventory levels. Even with the growth in the business, we're delivering lower inventory levels on our balance sheet, as well as what our wholesale partners have in their store rooms. So, those are really strong indicators of the health of our brand, the strong sell-through that we're seeing, and again then, another strong setup for our order book.

Paul Lejuez
Analyst, Citigroup Global Markets, Inc.

Q

Thank you. Good luck.

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.

A

All right.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.

A

Thank you.

Operator: We'll go next now to Jay Sole with UBS.

Jay Sole
Analyst, UBS Securities LLC

Q

Super. Thank you so much. Stefano, two questions for me. One on UGG, if we think about the multi-year framework you just gave, how much of the growth do you think will come from, say, the winter business, the classic business versus some of the newer stuff, spring, summer, fall, as you've made the brand more of a 12-month brand? How do you see the mix of business evolving in those two segments? That's the first part of the question.

And then the other part on the multi-year framework relative to HOKA, given that you're talking about [ph] six (00:49:06) franchises now with over $100 million in revenue and three that are close to $100 million, lifestyle starting to see some green shoots, maybe some innovation coming next year, do you see opportunity to open more HOKA stores? Is that part of the plan as you look out through 2030? What kind of growth driver could more HOKA stores be, given the expanding assortment looking out over a multi-year period? Thank you. Those are the two questions.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.

A

Let me start with that one, then [ph] I'll (00:49:31) tag along. Yes, we plan to expand our HOKA retail footprint in proportion with the growth of the brand. We're focusing on major cities. We've recently opened stores in Berlin, Milan, Chamonix, the birthplace of the brand. We continue to build and open stores in Asia, especially in China. We anticipate 20 to 25 store openings per annum, which is what we have been doing over the past couple of years.

Regarding UGG, yes, UGG, to your point, has become a year-round premium lifestyle brand and is now competing across multiple categories, right, not just [ph] itself (00:50:07). So, we expect the growth to continue to intend to grow faster in spring/summer than in fall/winter. Our sneakers are performing super well. Our number three product in the marketplace was the Lowmel Sneaker this past year. Our sandals are performing super well, clogs, slippers, apparel and accessories, also, give us a reason to hope that we'll continue to drive growth in textiles.

The team has really done an incredible job in keeping this brand relevant, [indiscernible] (00:50:42) the business and really increasing [ph] wearing occasions (00:50:44). So – and newness has been working. The Otzo clogs, the Minimel sneaker, the Zora ballet flat, the Quill sneakrina, are all performing well across the global marketplace. So, this gives us reason to hope that we'll be able to continue to grow our 360 (sic) [365] (00:51:01) approach and continue to grow spring/summer at a faster pace than the fall/winter.

Jay Sole
Analyst, UBS Securities LLC

Q

Got it. Okay. Thank you so much.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.

A

Thanks, Jay.

Operator: We'll go next now to Blake Anderson with Jefferies.

Blake Anderson
Analyst, Jefferies LLC

Q

Hi. Thanks for taking our question. I wanted to first ask about the medium-term financial frameworks, and appreciate all the color there. Steve, on the operating margin in the low-20s, seem like if we take the midpoint of that, it's kind of flat versus what you expect this year at 21.5%. And maybe I missed it earlier, but would be curious kind of any commentary on how you're thinking about gross margin there versus SG&A, especially given the commentary previously on how strong your levels of full price selling are that you've seen, and then some of the freight impacts you're seeing this year. So, kind of curious how you see the up versus down areas for gross margin versus SG&A over the next few years.

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.

A

Yes. Thanks, Blake, for your question. And In terms of how we're looking at the framework, it's very similar to your point to how we're seeing the setup of this year. So, continued driving along those lines. I didn't comment in the prepared remarks about an opportunity to achieve some level of operating expense leverage. And we have the ability to do that. At the same time, we'll continue to look at how we're investing in the brands. The operating margin will be then a bit of a function around our gross margin, but we expect to maintain strong gross margins.

So, the way we look at gross margins is kind of really how we price our product based on the value that we're delivering. And we're delivering great products with high value. So, we'll continue to maintain that going forward and then we'll continue to look at it. But I think in terms of how we've set up the question in the framework, that is how we're looking at the multi-year view.

Blake Anderson
Analyst, Jefferies LLC

Q

Great. Thank you. And then if I could ask one more. You mentioned freight shipping, adding some input costs due to upgraded materials as well. There's a lot going on with the higher oil prices in the supply chain. Would love any more color you can provide on how much impact you're seeing from oil prices versus freight. And then are you raising pricing along with some of those upgraded materials as well?

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.

A

I would say still early in that sense. We have to see how things play out and where pricing begins to normalize. Clearly, we're seeing some pressure in terms of, to your point, freight and fuel costs and some of the input costs raising. Again, largely a lot of the products that we have is bought for FY 2027. As we move into next calendar year and [indiscernible] (00:53:50), we'll be very careful about what we're seeing in terms of those input costs and again, with strong brands, we have pricing power. So, those are things that we can always take a look at.

Blake Anderson
Analyst, Jefferies LLC

Q

Great. Thanks so much.

Operator: We'll go next now to Sam Poser with Williams Trading.

Sam Poser
Analyst, Williams Trading LLC

Q

Thank you for taking my questions. Over the last two years, the UGG business has flowed from a – I guess from a DTC or from a consumer demand perspective, it flowed two different ways. In 2024, it looks like it started really early and then this year, it started – this past year, it started much later. How are you looking at the flow of the business this year? And in the gross margin, have you – you didn't mention it, but are you once again guiding to a more normalized promotional environment and then normalize doesn't seem to happen that often?

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.

A

Yeah, I'll start maybe and then, Stefano, if you want, kind of jump in. In terms of the UGG business [ph] and family yeah (00:55:03), we talked about this a little bit on prior calls in terms of how we're seeing consumer respond in the market. So, when you look at that dynamic there, we are seeing trends where purchasing is more event-driven currently than it has been in years past. I think that's created some of the volatility. We've talked about peaks and valleys before in terms of seeing that.

I think what we've seen the last two years is that the consumer is still showing up for our brand. I think our Q3 and our Q4 performance is a further indication of that. And so, while consumer purchasing patterns are changing and if they are shifting to event-driven purchasing, they're showing up and buying our brands. And that's really what our performance has been driven.

In terms of the context of how we've answered the question, as Stefano said earlier, we're also driving a bigger spring/summer business. So, we are seeing increases in the spring/summer seasons because we're bringing more relevant products to the consumer who's looking for that product in that timeframe. So, we are seeing kind of multiple dynamics that are impacting sales patterns, but in both cases, we're capturing the consumer and increased purchases.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.

A

There's definitely a buy now, wear now mindset. Yeah.

[indiscernible] (00:56:21)

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.

A

You had a question kind of on the gross margin. In terms of how we've laid out this year, we are assuming a more promotional environment. Not in this current time. So, in terms of what the previous questions that I've received in terms of how we're thinking about the gross margin pressure that we're seeing in FY 2027, it really more is about inflation and higher input costs and material upgrades.

Sam Poser
Analyst, Williams Trading LLC

Q

Thank you. And then secondly, you mentioned the tariffs and they're not in your numbers. How much did you pay in tariffs under IEEPA? And how do you intend – I assume you filed for the refund. How do you intend to account for it once you get it?

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.

A

Yeah. So, as we've said earlier, the gross amount that we paid was around $120 million and we will look once we receive the money back. Clearly, we have partners who were cost-sharing in that. So, we'll make sure that we're taking care of them in terms of any return amounts. That's still to be determined. And then for the accounting of it, we'll address that kind of when we see it come back into the bank account.

Sam Poser
Analyst, Williams Trading LLC

Q

Okay. Thank you very much.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.

A

Thanks, Sam.

Operator: We'll go next now to Adrienne Yih with Barclays.

Adrienne Yih
Analyst, Barclays Capital, Inc.

Q

Great. Thank you very much and congratulations. Great to see the early momentum.

Stefano, I wanted to talk about HOKA and sort of the wholesale channel, I guess wholesale and international. In the past, you talked about kind of not really penetrating all the places that you can be. You're kind of in the top spaces and the premium doors. So, can you talk about over this kind of the structural three-year horizon, how you think about potentially penetrating doors that are kind of in maybe that second tier? If so, what would be the trigger for that and when might we see that happen? And then on the international side of things, can you talk a little bit more about the international strategy both in Europe and in Asia and when we might see that accelerate? Thank you very much.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.

A

[indiscernible] (00:58:38) starting with international, international has been accelerating and as we said before, we applied the US playbook to our international business. International for HOKA is between two and four years behind based on awareness. We are at 40% awareness in Europe, 16% in the US. We are 30% in China, but our approach is still very, very consistent. We are monitoring signals in the marketplace, consumer demand, turns, margins, door productivity, and to determine when the right time to expand is. And as our offer expands, this gives us more differentiation and segmentation opportunities. And we're slowly and thoughtfully expanding where it makes sense.

As I mentioned on the last call, sporting goods in the US is still only 50% penetrated, athletic specialty only 25% penetrated. In EMEA, it's 40% for sporting goods and less than 20% for athletic specialty. So, plenty of upside for us within the framework that I shared to enter some of these destinations. We are doing some tests with some new upcoming retailers in the fall both in the US and Europe. And if those tests go well, we'll slowly and thoughtfully and systematically expand.

So, the approach that we've taken until now doesn't really change. Now, we have a broader product offer that allows us to systematically differentiate the marketplace and offer consumers a differentiated proposition wherever they shop. And allowing us to segment the marketplace more thoughtfully, including GCC.

Adrienne Yih
Analyst, Barclays Capital, Inc.
Q

Great. And then Steve, my follow-up is on the inventory. So, the dollars are down, I guess, low single-digit, which means the units are probably down more so than that. As we kind of go into the back half of the year and you typically don't restock people, right? So, whatever's out there is out there. You're not really chasing inventory. So, how do you think about the positioning of that inventory and then what macro backdrop are you assuming for the rest of FY 2027? Thank you very much.

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.
A

Yeah, it's a good question. So, clearly having lower inventory helps. To your point, we have historically – when we run out of product, we're out of product. That helps drive full price selling and also helps drive increased orders for future seasons. And again, that's what you're seeing play out in the playbook. And that works very well for us.

I think as we look at the environment, consumers, even with everything going on, are still operating from a healthy position. I think what we've seen, especially in what played out in Q3 and Q4 was the consumers showed up for the brands that they want, and they purchased the brands that they want. And as our outlook for the rest of this year is that we see the demand for our brands. We see the growing awareness. We see the interest. We see the interest in the new products that we've been bringing to market and so that's what's giving us confidence.

So, I think from a macroeconomic standpoint, I think I made the comment we'll see how things evolve and develop. But we're confident with how our brand – how the brands are resonating with consumers and consumers' interest to purchase our product.

Adrienne Yih
Analyst, Barclays Capital, Inc.
Q

Fantastic. Best of luck. Thank you.

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.
A

All right. Thank you.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.
A

[ph] Thanks so much (01:02:22).

Operator: And thank you. We'll go next now to Rick Patel with Raymond James.

Rick B. Patel
Analyst, Raymond James & Associates, Inc.
Q

Thank you. Good afternoon. I was hoping you can unpack your domestic performance in Q4. I believe it was flattish. What were the puts and takes by brand? And what are your expectations for the domestic market as you think about fiscal 2027?

Steven J. Fasching
Chief Financial Officer, Deckers Outdoor Corp.

A

Yeah. Sure, Rick. So, I think you're still there. I don't know if we got cut off but just to answer your question, in terms of performance in US, the performance in US was positive, as we made in the remarks. What you're seeing from a top line perspective is being impacted from some of our discontinued brands. Those brands this year versus last year, that's muted. But when we look at both UGG and HOKA, both have grown in the US and across the globe. So, positive trends in that respect. We made a comment that we're seeing kind of positive trends. So, I think still looking forward, we continue to see those positive trends continuing.

Rick B. Patel
Analyst, Raymond James & Associates, Inc.

Q

Got it. And then for HOKA, just zooming out to your plan to grow low double digits between fiscal 2028 and 2030, what needs to occur to drive that growth that you're not doing today? You touched on testing out some new wholesale accounts, but does it also embed entering new sports that HOKA doesn't participate in today or new categories like apparel? Just some color on the building blocks would be great.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.

A

Yeah, plenty of upside for us in the categories we're competing in; the categories, the channels, and the geographies. The categories we're competing are $100 billion and so plenty of upside for us across road, trail, fitness, recovery, lifestyle, and apparel. So, we continue to explore new categories, but the framework doesn't incorporate any new categories at this point.

Rick B. Patel
Analyst, Raymond James & Associates, Inc.

Q

Great. Thanks very much.

Stefano Caroti
Chief Executive Officer, President & Director, Deckers Outdoor Corp.

A

Thank you, Rick.

Operator: Thank you and ladies and gentlemen, that is all the time we have for question on today's call. So, this will conclude today's Deckers Brands fourth quarter fiscal 2026 earnings conference call. Please disconnect your line at this time and have a wonderful day. Goodbye.